



WAR ZONE A Ukrainian police officer stands in front of a damaged residential block hit by a missile on February 25 in Kyiv

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Bracing for Impact

The Russian invasion of Ukraine has already creaked the world's economy, and has the potential to do more damage if it doesn't end quickly

BY MANISH PANT AND TEAM BT

ON FEBRUARY 24, when Russian forces launched a war on neighbour Ukraine, it actually escalated an eight-year stalemate that commenced with Russia reclaiming the Crimean Peninsula in March 2014 to undo what it describes as a Soviet-era injustice. As news of the Russian move trickled in, stock markets tanked globally and in India. Oil & gas, metals, telecom and realty indices were the worst hit on Indian exchanges.

Of particular concern is the possibility of crude oil touching the 2008 high of more than \$140 a barrel (currently Brent crude is at around \$100-plus levels). India is the third-largest importer of crude after China and the US; crude accounts for 20 per cent of

the country's total import bill. India paid \$82.4 billion for crude oil imports in the nine months through December 2021, a 108 per cent rise over \$39.6 billion paid over the same period in 2020. "Currently, the Ukraine crisis and its implications for crude have emerged as a key risk for [India]," says Dharmakirti Joshi, Chief Economist, CRISIL Research. "It will bloat the current account deficit (CAD), trim GDP growth and push inflation up, and the quantum of impact will depend on how high crude prices go and for how long they stay elevated."

Economists say the main impact will be on CAD and inflation. "If crude imports average \$100 a barrel through FY23, CAD could rise to 2.3-

2.5 per cent of GDP," says Aditi Nayar, Chief Economist, ICRA. "The impact on inflation will depend on when and by how much retail selling prices [of fuel] are hiked, and whether excise duty is cut to absorb a portion of the pain." Adds Madan Sabnavis, Chief Economist, Bank of Baroda: "We must remember that the government has desisted from any increase in retail prices of fuel products ostensibly due to the ongoing state elections, which was before the conflict ensued. There was a strong case for increasing rates even with there being no war-like situation."

Strengthening crude oil prices may impact sectors such as aviation, paint, tyre and oil marketing companies, while oil exploration companies may get some benefit, as might export-oriented sectors such as IT and pharmaceuticals, since higher oil prices will put pressure on the currency.

POST-COVID DISRUPTION

Concerns emanating from the Russian military action immediately put the Indian markets on tenterhooks. "The world can ill-afford further disruption in trade and commodities

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